

A: The deadline is April 15 of the *following* year. If, for example, you suddenly realize on January 1, 2011, that you forgot to make your 2010 IRA contribution, you can still contribute and get the tax benefit for 2010. In fact, you have until April 15, 2011, to contribute to a traditional IRA or Roth IRA for tax year 2010 (and in the case of a deductible IRA, deduct it on your 2010 return). Note: you can also put in your contribution for 2011 as early as January 1, 2011. If you can afford to do so, definitely do it. Your money will have that much more time to grow.

Q: Can my parents give me the money to open an IRA?

A: Yes. As long as you (or your spouse) have *earned* at least that same amount during the year it is contributed to the IRA, it doesn't have to be your money that's deposited. (See Chapter 9 for more detail on how the IRS defines "earned" money.)

Q: Are there any IRA fees I should watch out for?

A: Yes. One common practice is to tack on an IRA maintenance fee of between \$10 and \$40 a year. Sometimes the fund company will waive the fee if you maintain a given minimum amount in your account or if you have other accounts at the same institution.

Q: I want a Roth IRA but earn too much. Should I bother getting a nondeductible IRA?

A: Yes. Congress recently created a loophole that can help you. Starting in 2010, unless things change, you can open a nondeductible IRA, wait 60 days, and convert it to a Roth IRA. You can do this no matter how much money you earn. After that, you've got a Roth and the money will grow tax-free forever.

You can also take advantage of this if you started out with a traditional IRA because you needed the near-term tax break but now have the cash to pay the taxes and go into the Roth. If you need help deciding, financial software firm CCH Inc. has more detail and a link to a useful calculator at www.finance.cch.com/text/c40s10d330.asp.